

sure Bharat Banking gets the importance it deserves. The bank had earlier come out with a 'Deep Geo Project', an asset-led strategy in semi-urban and rural geographies. "Deep Geo was a precursor to Bharat Banking, which is now looking at assets, liabilities, end-to-end solutions and the entire ecosystem," says Chaudhry. Currently, the bank has close to half of its total 4,758 branches in rural and semi-urban areas. The customised product basket includes farmer funding, gold loans, farm equipment loans, microfinance, supply chain finance, commodity business, etc. It is also building a broader distribution platform that includes partnerships with Common Service Centres and India Post, and about 40,000 village-level entrepreneurs or business correspondents. Plus, it is forming alliances with agri, fertiliser and seed companies. "We are riding on their pipes to provide banking services," says Sharda.

28 | **C**HAUDHRY HAS completely reoriented the wholesale business. "We are pivoting our client selection across the corporate, SME and mid-corporate spectrum to well-rated clients," says Ganesh Sankaran, Group Executive for Wholesale Banking Coverage Group. Today, over 80 per cent of the book comprises highly rated corporates. The bank has significantly reduced its exposure to sectors such as gems and jewellery and infrastructure, while increasing exposure in renewables, roads and city gas distribution. "Historically, the bank was known to be a balance sheet lender. In fact, it used to leave the cream on the table, very often, for other banks. The big focus now is to deliver one Axis to clients," says Deputy MD Rajiv Anand.

The bank is positioning itself as a one-stop shop for corporate loans, cash management, trade finance, forex, advisory, etc. "We want to build real partnerships because we want to grow with our companies," says Sankaran. Its strength on the wholesale side also lies in its superiority in the bond market. "We have a very strong loan syndication book. We are now the only private bank that is focussed on the offshore debt capital markets as well," says Neeraj

Gambhir, Head of Treasury and Markets. Anand stresses the point that it is all about execution: "I don't think any of our peers are able to work in corporate and investment banking as seamlessly as we do."

Apart from large corporates, the wholesale banking division is scaling up the government-, MNC-, mid-corporate- and commercial banking (SME) segments. "Mid-corporate is an important part of your portfolio provided you

know how to manage risk. It's a very important business, because you don't make much money in large corporates," says Anand. The mid-corporate sector, with a loan size of ₹250-1,000 crore, has grown from ₹10,000 crore three years ago to ₹25,000 crore today. "The book is growing 40 per cent every year. We have huge ambitions," says Anand. Avers Krishnan of HDFC Securities: "It's a good sweet spot to have in your portfolio. But they have to walk the talk in terms of aggressively pursuing this new business."

Under Chaudhry, Axis created an integrated commercial banking group for a sharper focus on SME needs. "When Amitabh took over, he realised that the business wasn't in the shape in which he wanted to scale it up. The bank switched off from the SME segment and ended up losing that profit pool completely," says Krishnan. Axis initiated a tech-driven transformation project called Sankalp, which is all about using data analytics, simplification of product offerings, and meeting the holistic needs of SMEs. Today, the SME book is largely working capital loans, more granular and well diversified across three dozen sectors.

When Chaudhry joined, Axis had five digital API integrations. Today, it has 300, for aggregators, digital lenders and payments providers. It had no

partnership to speak of when he joined. Today, it has 80 with the likes of Flipkart, Google Pay, Amazon Pay and PhonePe. It is investing a lot in shifting applications to the cloud, automating processes, reducing the number of legacy apps and building new apps on an agile platform. "In the last year, 100 per cent of the customer-facing applications that we launched are cloud native. These are video KYC, credit card journey, BNPL, current account

SPEED BUMPS AHEAD

High-rated corporate is a low-margin business with tough competition in generating fee income

Transplanting senior management from outside could be demoralising for the internal cadre

Scaling up needed in subsidiaries, mid-corporate, SMEs, etc.

High cost-to-income ratio

Three-year ROE target of 18 per cent yet to be achieved